

SECTION 9: EXTENSION OF TRADE THEORY AND ECONOMIC DEVELOPMENT

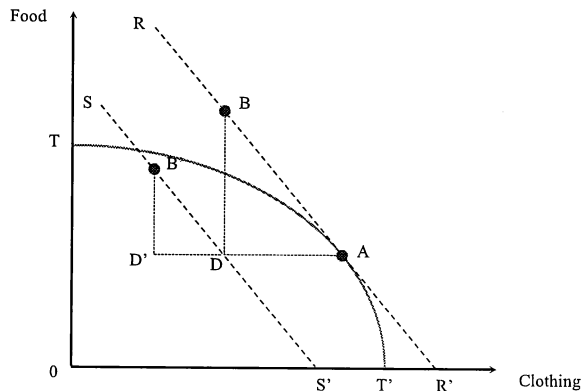
9.1 EXTENSION OF TRADE THEORY

MARKING SCHEME

1990/AL/II/20 B	1997/AL/II/17 C	2001/AL/II/26 C	2003/AL/II/25 B	2008/AL/II/24 C (72%)
1991/AL/II/04 C	1998/AL/II/18 B	2002/AL/II/24 A (43%)	2005/AL/II/27 D (36%)	2009/AL/II/23 A (85%)
1992/AL/II/29 C	1999/AL/II/19 B	2002/AL/II/27 C (44%)	2006/AL/II/26 C (46%)	2009/AL/II/24 C (84%)
1995/AL/II/21 B	2001/AL/II/20 D	2002/AL/II/28 D (35%)	2006/AL/II/27 C (62%)	2010/AL/II/24 B (36%)
1996/AL/II/24 C	2001/AL/II/21 D	2003/AL/II/24 A	2007/AL/II/24 A (54%)	2011/AL/II/25 A (57%)

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1991/AL/II/3

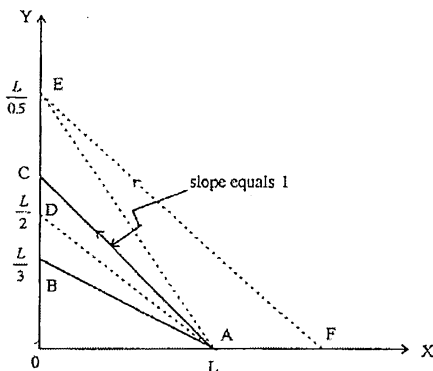


Destruction of DA units of clothing shifts the consumption possibility frontier from RR' to SS'. This is a parallel shift because of the price taking assumption.

A new equilibrium occurs at B'. D'D is the new amount of exports, in exchange for B'D' (the new amount of imports).

1997/AL/II/8

- (a) AB is the production frontier. Country A will export Good X.
- (b) Before technical progress, AB is the production frontier. After trade, AC is the consumption frontier and the country will specialize in the production of Good X and point A is the production point.
- (i) When the labour requirement in the production of Y is 2, Country A still has its comparative advantage in X and will export X. The production frontier becomes AD. After trade, Country A still produces at point A. AC remains to be the consumption frontier. There will be no change in consumption. Welfare of Country A will not change.
- (ii) When the labour requirement in the production of Y is 0.5, Country A has its comparative advantage in Y and will export Y. The production frontier becomes AE. After trade, Country A will produce at point E. EF becomes its consumption frontier. Welfare will increase as the consumption frontier has shifted out (relative to AC).



2012/DSE/II/15

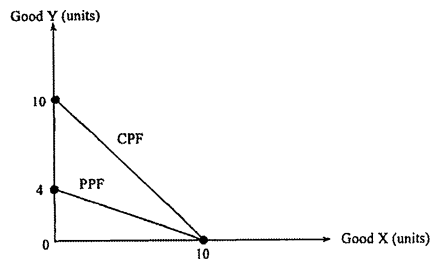
- (a) (i) In country A, the opportunity cost of producing $1X = 1Y$ while in country B, the opportunity cost of producing $1X = 0.667Y$. (1)
- Country B has a lower opportunity cost in producing good X, therefore Country B has a comparative advantage in producing good X. (1)
- (ii) Yes, because their costs of producing goods X and Y are different. (1)
- (b) Country A will gain $(1Y - 0.8Y =) 0.2Y$ (2)
- and Country B will gain $(0.8Y - 0.667Y =) 0.133Y$ (2)
- per unit of X traded respectively. (1)

2013/DSE/II/14(a)

- (i) Country A will import Good Y because the domestic production cost of Good Y is higher than the terms of trade.

(1)
(1)

(ii)



Indicate on the diagram:

- correct position of PPF
- correct position of CPF

(1)
(1)

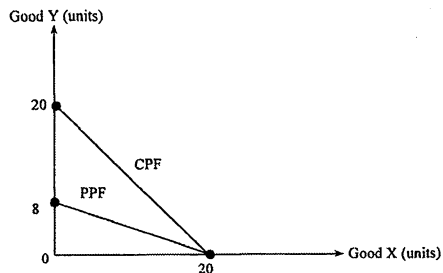
- (iii) Country A will still import Good Y because the domestic production cost of Good Y is still higher than the terms of trade.

(1)
(1)

Country A will be better off because

the CPF shifts outward / Country A can consume more of Good X and Good Y.

(1)
(1)



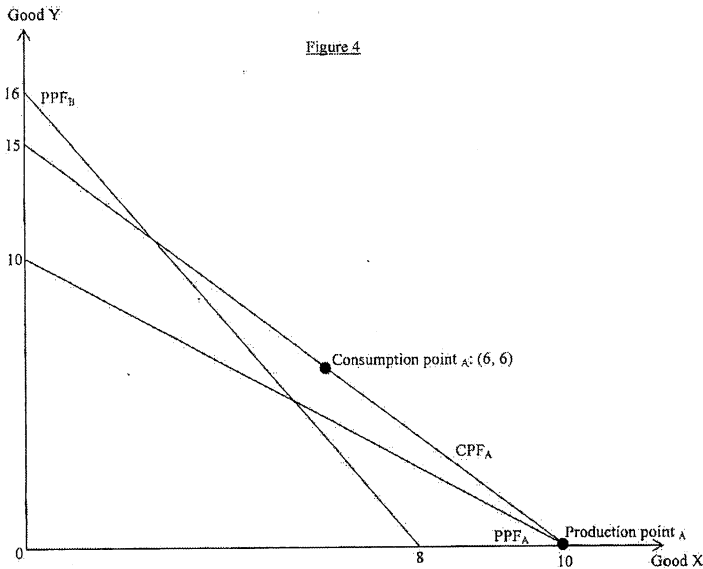
Indicate on the diagram:

- correct position of PPF
- correct position of CPF

(1)
(1)

2014/DSE/II/14

- (a) The marginal (and average) costs of production for Good X and Good Y are constant (and do not increase with the quantities of X or Y). So the opportunity cost of X in terms of Y, which is the slope of the PPF, is constant. (2)
- (b) (i) Country B can produce 8 units of Good X by using all of its resources. Given the amount of resources owned by Country A doubles that of Country B, Country A can only produce 5 ($= 10/2$) units of X by using the same amount of resources as B. So Country A does not have absolute advantage in producing X. (3)
- (ii) In Country A, the opportunity cost of producing one unit of X is $(10/10 =) 1Y$. In Country B, the opportunity cost of producing one unit of X is $(16/8 =) 2Y$. So Country A has comparative advantage in producing Good X. (2)
- (c)

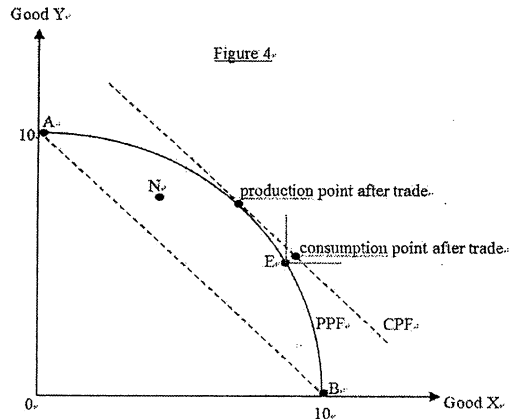


Indicate on the diagram:

- (i) production point of Country A: (10, 0) (1)
- (ii) CPF of Country A: a straight line with X-intercept equals 10 and Y-intercept equals 15 (2)
- (iii) consumption point of Country A: (6, 6) (2)

2015/DSE/II/14

- (a) No,
because there will be idle resources in the country / the country is not maximizing its production. (1)
(1)
- (b) No, because
without trade, the domestic cost of good X trade in country A ($= 2.5Y$) exceeds the world price of X ($= 1Y$) (1)
OR
opportunity cost of 1X = slope of the tangent of PPF at E $>$ slope of AB (2)
(2)
- (c)



Indicate on the diagram:

- correct position of production point after trade (1)
- tangency between CPF and PPF (1)
- CPF is parallel to AB (1)

- (d) Yes, because (1)
the country can consume beyond its PPF (which is also its CPF without trade) / the country can consume more of X and Y after trade. (1)

Indicate on the diagram:

- correct position of consumption point after trade (1)

2016/DSE/II/15

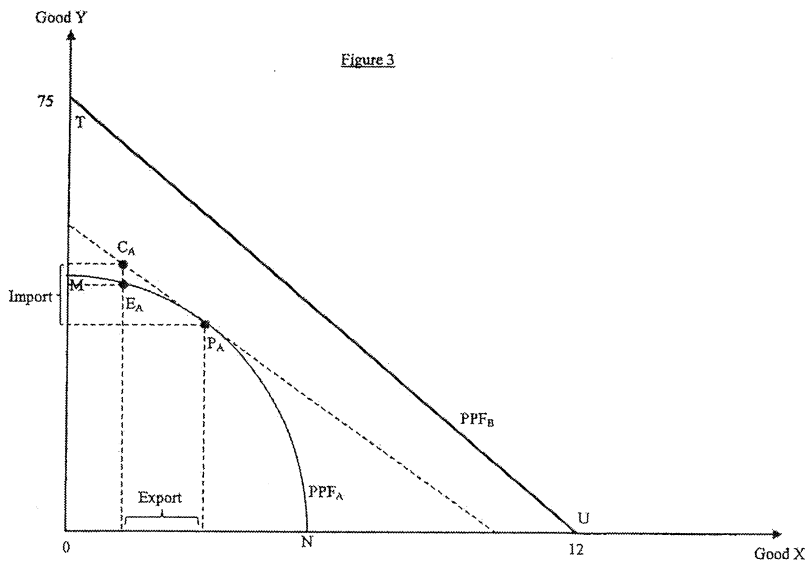
(a) The marginal costs of producing of both X and Y are increasing in Country A. (1)

(b) Country A's opportunity cost of producing $1X = 4Y$ (1)

Country B's opportunity cost of producing $1X = 6.25Y$ (1)

Country A has a lower cost in producing X, and thus it has a comparative advantage in producing X. (1)

(c)



Indicate in the diagram:

(i) The correct position of P_A (1)

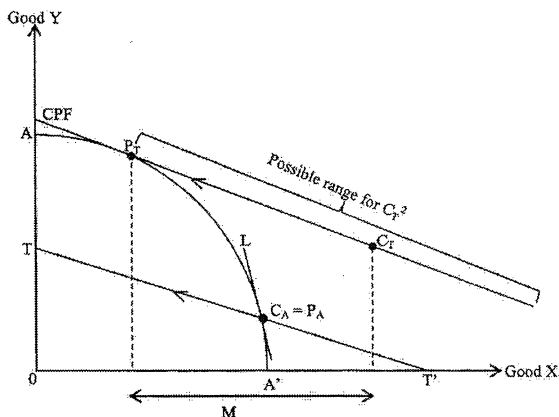
(ii) The correct position of C_A (1)

(iii) The correct volume of export (1)

The correct volume of import (1)

(d) No, because (1)

the opportunity cost of producing X (and Y) will be unaffected by this technological change. (1)



- (a) (i) Without trade, Country A can only consume its own production. (1)

Illustrated in the diagram:

- correct position of C_A = production point P_A (1)

- (ii) Slope of L is the marginal cost of Good X. (1)

L is steeper than TT' . (1)

That means marginal cost of producing Good X is higher than the world price of Good X. (1)

So Country A did not have a comparative advantage in producing Good X. (1)

(max: 3)

Illustrated in the diagram:

- correct position of the straight line (L) (1)

- (b) (i) Country A would produce at P_T where $TOT =$ domestic marginal cost of production. (1)

Illustrated in the diagram:

- correct position of P_T (1)

- correct position of CPF (1)

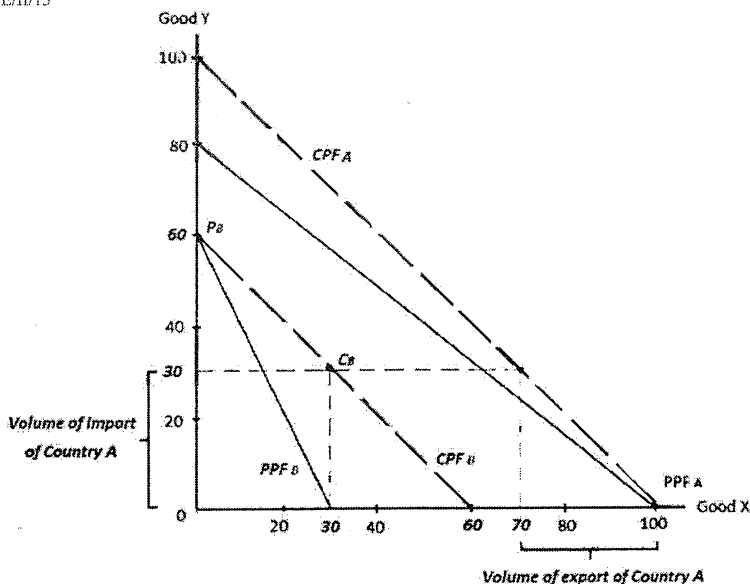
- (ii) Country A can consume at a point which is unattainable from local production before trade. (1)

Illustrated in the diagram:

- correct position of C_T (1)

- (ii) Illustrated in the diagram:

- correct position of M (1)



- (a) Illustrated in the diagram:
 - correct position of production possibility frontier of Country B (PPF_B) (1)
- (b) Country A has absolute advantage in producing Good X, because with the same amount of resources (30 units), Country A can produce a larger quantity of Good X (60 units) than Country B (30 units) (1)
OR
 with the same amount of resources (50 units), Country A can produce a larger quantity of Good X (100 units) than Country B (50 units).
OR
 Country A can produce 1 unit of X with fewer units of resources (0.5 units of resources) than Country B (1 unit of resources). (2)
- (c) Illustrated in the diagram:
 (i) - correct position of production point of Country B (P_B) (1)
 (ii) - correct position of consumption possibility frontier of Country B (CPF_B) (1)
 - correct position of consumption point of Country B after trade (C_B) (1)
 (iii) - correct position of consumption possibility frontier of Country A (CPF_A) (1)
 - correct position of volume of import of Country A (1)
 - correct position of volume of export of Country A (1)